

26PSCV00351 26PSCV00351

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Case Number: 26PSCV00351 Hearing Date: October 8, 2026 Dept: 6

Plaintiff Neoline, Inc.'s Request for Entry of Default Judgment

Defendant: Piggy Express, Inc.

TENTATIVE RULING

Plaintiff's request for entry of default judgment is DENIED without prejudice.

BACKGROUND

This is a payment dispute. On January 29, 2026, plaintiff Neoline, Inc. (Plaintiff) filed this action against defendant Piggy Express, Inc. (Defendant) and Does 1 through 10, alleging causes of action for breach of contract and conversion.

On May 4, 2026, default was entered against Defendant.

On June 12, 2026, Plaintiff requested entry of default judgment against Defendant.

LEGAL STANDARD

Code of Civil Procedure section 585 permits entry of a default judgment after a party has failed to timely respond or appear. (Code Civ. Proc., § 585.) A party seeking judgment on the default by the court must file a Request for Court Judgment and: (1) a brief summary of the case; (2) declarations or other admissible evidence in support of the judgment requested; (3) interest computations as necessary; (4) a memorandum of costs and disbursements; (5) declaration of nonmilitary status; (6) a proposed form of judgment; (7) a dismissal of all parties against whom judgment is not sought or an application for separate judgment under Code of Civil Procedure section 579, supported by a showing of grounds for each judgment; (8) exhibits as necessary; and (9) a request for attorneys' fees if allowed by statute or by the agreement of the parties. (Cal. Rules of Court, rule 3.1800, subd. (a).)

PRELIMINARY ISSUE

To protect personal privacy and other legitimate interests, parties and their attorneys must not include, or must redact where inclusion is necessary, the following identifiers from all pleadings and other papers filed in the court's public file, whether filed in paper or electronic form, unless otherwise provided by law or ordered by the court:...

(2) Financial account numbers

If financial account numbers are required in a pleading or other paper filed in the public file, only the last four digits of these numbers may be used.

(Cal. Rules of Court, rule 1.201, subd. (a).)

Plaintiff's default judgment request fails to redact the applicable financial account information. (See Chen Decl., Exs. 2-3, 5.) The Court admonishes Plaintiff to comply with the California Rules of Court going forward.

ANALYSIS

Plaintiff seeks default judgment against Defendant in the total amount of \$141,525.91, including \$110,985.00 in damages, \$7,030.06 in interest, \$6,999.85 in attorney fees, and \$511.00 in costs. The Court finds some problems with Plaintiff's default judgment request, particularly as it pertains to damage calculations. First, the amounts stated in paragraph 2 of Judicial Council Form CIV-100 do not add up to \$141,525.91, but rather only add up to \$125,525.91. (CIV-100, ¶ 2.)

Second, the bank records Plaintiff submitted contain two problems. The first problem is that none of the highlighted entries show payments from Defendant; rather, they show payments from an entity named "Bnf-Ez Fintech Corp" and a person named "Bnf-Jiang Chen." (Chen Decl., Ex. 3.) If these are payments from Defendant, the Court needs evidence showing that these payments were made on behalf of Defendant. The second and even bigger problem is that the highlighted entries show far more than \$180,000.00 in partial returns of the security deposit. They actually show \$385,074.00 in payments, which far exceeds the \$240,000.00 security deposit. (Chen Decl., Ex. 3.) The highlighted payment entries in Plaintiff's submitted bank records show the following:

Date

Payor

Memo

Amount

01/30/2024

EZ Fintech Corp

—

\$12,537.00

02/26/2024

Jiang Chen

—

\$21,312.00

03/20/2024

Jiang Chen

"21312+2000=\$23312 Mar 2024"

\$23,312.00

05/01/2024

EZ Fintech Corp

—

\$18,927.00

05/30/2024

EZ Fintech Corp

May 2024 L1 Service

\$22,263.00

06/28/2024

EZ Fintech Corp

"June 2024"

\$20,286.00

07/31/2024

EZ Fintech Corp

—

\$20,867.00

09/03/2024

EZ Fintech Corp

—

\$20,286.00

10/02/2024

EZ Fintech Corp

"SEP 2024"

\$14,034.00

10/31/2024

EZ Fintech Corp

"30460 Oct W2 60000 Loan Repay"

\$90,460.00

12/04/2024

EZ Fintech Corp

"L1 Repayment Nov"

\$24,145.00

01/09/2025

EZ Fintech Corp

"L1"

\$16,645.00

01/24/2025

EZ Fintech Corp

"L1 Capital Repay"

\$60,000.00

04/04/2025

EZ Fintech Corp

—

\$20,000.00

If these are all payments from Defendant, then Plaintiff's claim would fail for lack of damages because they evidence repayment beyond the \$240,000.00 security deposit which is the sole basis for Plaintiff's claim against Defendant. (See Compl., ¶¶ 8-18.)

Third, it is not entirely clear to the Court how Plaintiff calculated the accrued interest portion of Plaintiff's claimed damages. The contract provides that the interest rate is a "fixed annual interest rate to NLI based on the Prime Rate (8.5% annualized as of December 2, 2023), with flowed interest rates adjusted monthly according to the Prime Rate and paid monthly." (Chen Decl., Ex. 1, § III, subd. (e).) The Court finds this language confusing and internally contradictory. A fixed interest rate cannot be adjusted on a monthly basis. It is also unclear what a "flowed interest rate" is. Moreover, Plaintiff's "accrued interest" calculation shows \$630.00 a month for February and March 2025, but then \$399.00 a month from April 2025 through August 2025. (Chen Decl., Ex. 6.) It is unclear how Plaintiff determined these amounts. It is further unclear why Plaintiff listed \$7,030.06 in interest on Judicial Council Form CIV-100. Accordingly, if Plaintiff seeks prejudgment interest with the resubmitted default judgment package, Plaintiff will need to provide a revised calculation.

Fourth, the contract contains no attorney fee clause. (Chen Decl., Ex. 1.) Plaintiff therefore has no basis for requesting attorney fees. (Code Civ. Proc., § 1033.5, subd. (a)(10).) Also, the default judgment package in some places requests \$6,999.85 in attorney fees and in other places requests \$2,999.85. (See CIV-100, ¶ 2; Proposed Judgment, ¶ 2, subd. (c); Memorandum of Points and Authorities, pp. 7-8; Brief Case Summary, p. 3.)

Fifth, Plaintiff contends to have dismissed the Second Cause of Action for conversion, but the only request for dismissal on file dismissed only the Doe defendants from this action. (See Request for Dismissal (6/12/26).) Plaintiff should file a request for dismissal of the conversion cause of action if Plaintiff is no longer proceeding on such cause of action.

CONCLUSION

Based on the foregoing, Plaintiff's request for entry of default judgment is DENIED without prejudice.